HOLD: keep all three platforms, stop paying for growth, and reprice — about $5M a year of contribution is recoverable without exiting anything

$13.7M
FY CM2 on $74M gross (18.5%) — vs ~48% for a dine-in dollar

14.4%
Exit run-rate CM2 % (June period): restaurant-funded promo has quadrupled since Feb

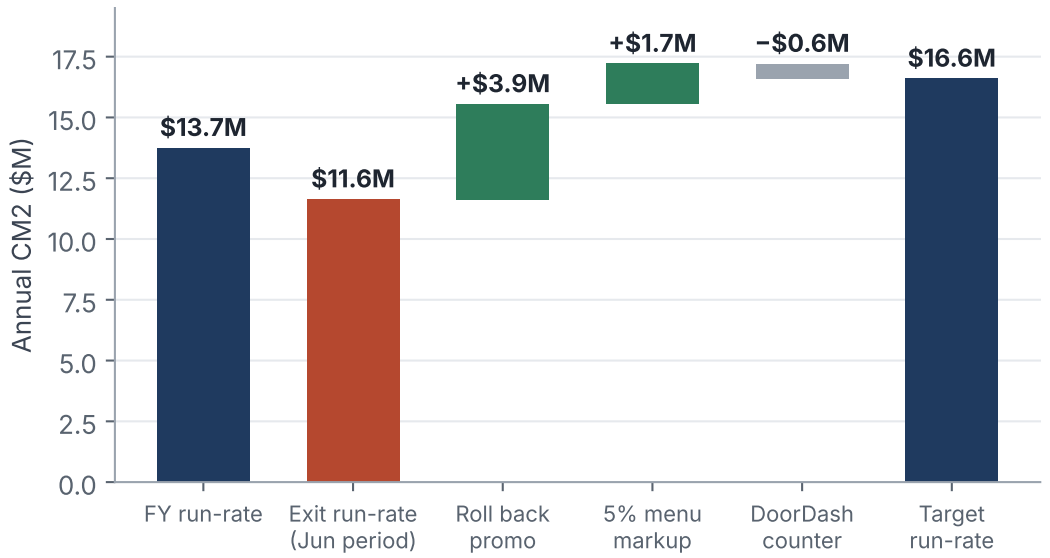
62%
Share of orders that must be truly incremental to beat dine-in. Evidence points to ~52%

+$5.0M
Annual CM2 from the plan → ~$16.6M run-rate (~20% of gross)

Objective: margin (CM2 dollars / EBITDA quality ahead of the raise)

- **Is it a business?** Yes, on its own terms: every store × platform earns positive CM2. But it keeps only 38% of the contribution a dine-in dollar earns, and its value depends on incrementality we cannot prove.
- **Actions:** ① roll promo back to ~1.5% of gross **+$3.9M**; ② 5% 3PD menu markup **+$1.7M** (half the test-implied gain); ③ counter DoorDash at 28.5% / ≤40% ads / 12 months **–$0.6M** vs today, $2.1M better than accepting over 24 months.
- **Confidence: medium.** High on the P&L, medium-high on the promo roll-back, low-medium on markup response and incrementality.
- **Trade-off:** roughly 1–3% of 3PD order volume, and less fuel for the East Coast growth story. If the board optimizes for **growth** instead, keep promo where it retains customers (SoCal/PNW/Northeast) and accept DoorDash's 24-month lock — this costs about **$2.7M** a year of CM2 vs this plan.

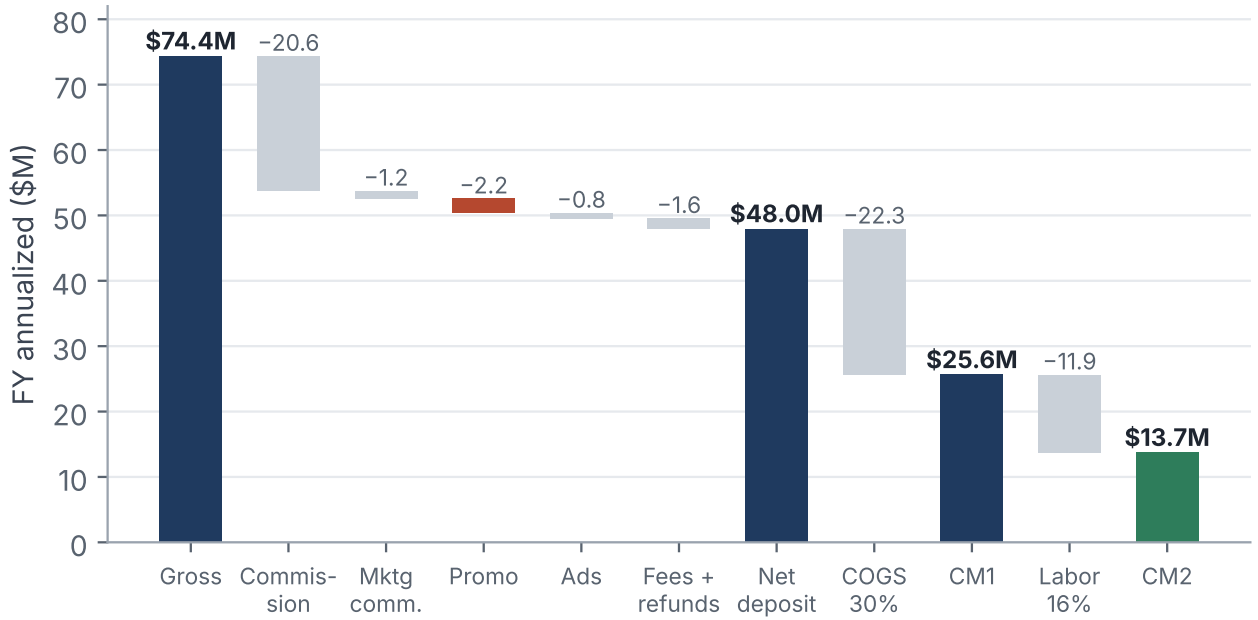
CM2 run-rate bridge, $M per year



Source: Sola_Kitchen_Financial_Model.xlsx — Exec_Summary, PL_Waterfall, Promo_Escalation, Markup, DoorDash · 1/5

Delivery makes money, but thinly: $100 of gross leaves $18 of contribution, against $48 in the dining room

Gross to CM2, FY annualized (51 weeks × 52/51), $M



Tax collected and remitted by the platforms (~$6.3M) is excluded. The bank deposit is not contribution: COGS (30%) and variable labor (16% of gross, both assignment assumptions) come out after it.

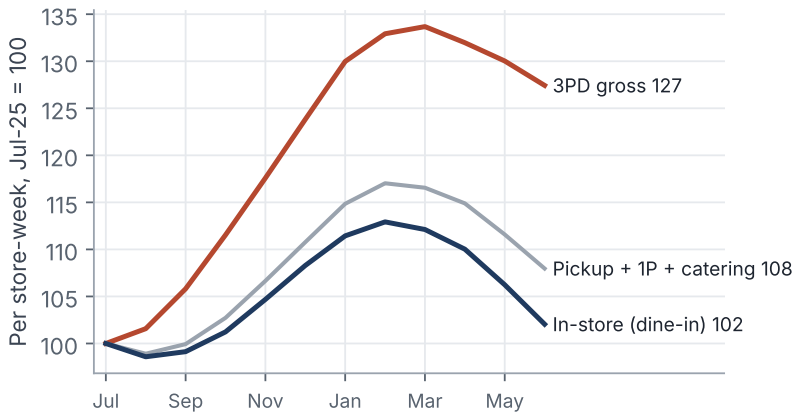
Profitability by platform and market

Segment	FY gross	All-in take	CM2 % FY	CM2 % exit	CM2 / order	CM2 mix
DoorDash	$40.6M	34.0%	20.0%	16.6%	$6.80	59%
UberEats	$25.7M	39.8%	14.2%	8.9%	$4.83	26%
Grubhub	$8.1M	29.4%	24.6%	21.1%	$8.43	14%
Established markets (5 regions)	$71.0M	35.3%	18.7%	14.8%	$6.33	97%
East Coast (12 new stores)	$3.4M	40.5%	13.5%	8.4%	$5.38	3%
Total 3PD	**$74.4M**	**35.5%**	**18.5%**	**14.4%**	**$6.30**	**100%**

- **The all-in take is 35.5%, not the 27.7% headline commission.** Promo, ads and fees add about 8 points.
- **The margin problem is UberEats, not DoorDash:** 14.2% FY, 8.9% at exit. Grubhub is the best platform at 24.6%.
- **Geography does not matter; maturity does.** All five established regions sit at 18.7%. The East Coast runs a 40.5% take and 6.2% promo, for 13.5% CM2.

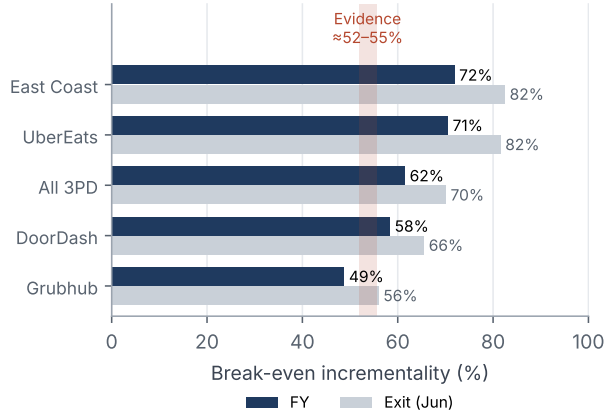
Delivery growth is real, but about half of it appears to come out of the dining room — below the 62% needed to create value

Same-store revenue per store-week, indexed (Jul-25 = 100)



Months contain 4 or 5 payout weeks, so all figures are per store-week. Only one year of data, so seasonality cannot be separated from trend.

Break-even incrementality vs the evidence



Break-even = 1 − CM2% ÷ 48%. A cannibalized delivery dollar replaces one that would have earned ~48% in-store.

Trend

3PD grew **+26%** (Q1→Q4) against in-store **+7%** and other own channels **+12%**. The dine-in shortfall equals ~48% of 3PD's above-trend growth, implying **~52% incrementality**. Indicative only: the store-level correlation is +0.13, not negative.

Capacity

72% of 3PD orders land at lunch or dinner, when **81%** of seats are already full. There, delivery competes with dine-in for the line. Off-peak seat utilization is 31%, which is where delivery is plausibly additive.

Retention (90-day)

Dine-in **37%**, 1P delivery 33%, DoorDash **17%**, UberEats 20%. Promo-acquired customers are lower still (13%–16%). The platforms keep the customer.

Markup test

A 5% markup cost 1.2% of volume and raised net revenue per store by +6.0% (t≈2.1). The 10% and 15% arms are not significant. Elasticity is ≈-1.1, but CM2 still rises because food and labor costs don't rise with price.

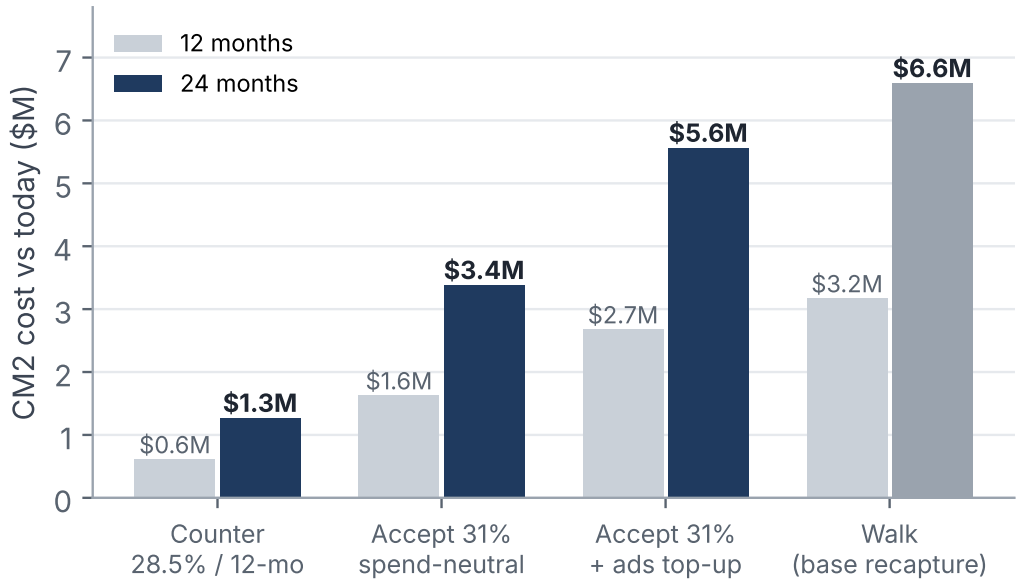
> **So what:** at 55% incrementality the channel's economic value is about **−$2.3M** FY (−$5.4M at the exit rate). At 80% it is **+$6.6M**. The evidence does not justify leaning in or exiting. Reprice first, then settle the question with a geo-holdout test.

Counter, don't accept or walk: 31% costs $3.4M over the 24-month lock, but walking costs more under base assumptions

DoorDash economics (Y1 gross $40.6M)	Current	Proposed	Our counter
Headline commission	27.0%	31.0%	28.5%
Marketing commission	1.5%	1.5%	1.5%
Ads share of DoorDash marketing	31%	≥60%	≤40%, spend-neutral
Term	Annual	24 months, no exit	12 months (or 24 with a 12-mo exit)
DoorDash all-in take (FY mix)	34.0%	38.0% – 40.6%	35.5%
DoorDash CM2 %	20.0%	16.0% – 13.4%	18.5%
CM2 cost vs today: 12 months / 24 months	—	**$1.6M / $3.4M to $2.7M / $5.6M**	**$0.6M / $1.3M**

- **Walk-away number:** walking (30% of DoorDash sales switch to UberEats/Grubhub, 15% return to our own channels) costs $3.2M a year. It only beats accepting above **~32%** with a forced ad top-up (35% if the ad mix is spend-neutral). So sign at **≤30%** with a spend-neutral mix, and never at 31% with a 24-month lock and an ad top-up.
- **Leverage:** DoorDash is 55% of our 3PD sales and growing ~8% a year. We can steer volume to Grubhub (22.5% commission, best CM2) and to our own 1P channel.
- **The ads mandate is cheap once promo is fixed:** with promo back at baseline, reaching 60% ads needs only ~$0.36M.
- A 6.1% DoorDash markup would neutralize +4 points at flat volume. But that lever is ours either way, so it should not be used to justify accepting.

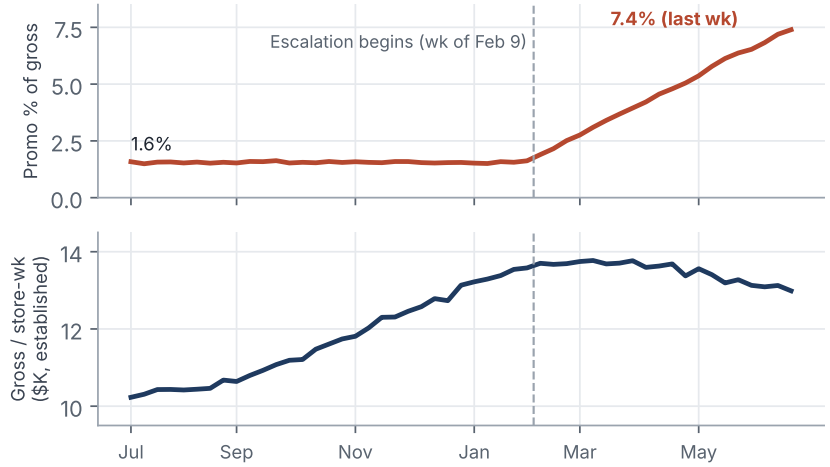
CM2 cost vs today's terms, $M



Year 2 assumes DoorDash gross grows 8% (Contract_Terms). The counter's 24-month figure assumes the same terms are renewed. The walk result is highly sensitive to recapture: across the recapture grid (DoorDash sheet), the Y1 walk cost ranges from −$4.7M to +$8.1M.

The bigger leak is self-inflicted: Sola's own promo spend has quadrupled since February and bought no volume

Weekly, all platforms: promo as % of gross (top) vs established-store gross per store-week (bottom)



- Restaurant-funded promo went from **1.6% → 7.0%** of gross, across every platform and region at once (UberEats 9.0%, East Coast 11.4%).
- Volume did not respond. Established gross per store-week is **-2.7%** vs late January, and the 3PD-to-dine-in ratio grew more slowly after the ramp (1.5%/mo) than before it (2.6%/mo).
- It costs **$4.4M a year** at exit run-rate, **2.7×** DoorDash's ask. The board is negotiating price with DoorDash while its own promo governance sets the margin, and full-year reporting (18.5%) hides a 14.4% exit rate.

Verify before the meeting: is this a deliberate campaign, platform auto-enrolled promos, or a data/classification change?

Action	Owner	When	Metric → decision threshold
Freeze and roll back restaurant-funded promo to ≤2% of 3PD gross; diagnose the February ramp	CMO + FP&A	Next period	Promo ≤2%. If gross/store-wk falls >5% vs the dine-in trend, restore selectively (SoCal, PNW, NE first)
Counter DoorDash: 28.5%, ≤40% ads spend-neutral, 12-month term	CFO + VP Off-Premise	Day 30 of 45	Sign at ≤30% spend-neutral. Walk-away at ≥32% with a forced ad top-up
5% 3PD menu markup on all platforms (UberEats/Grubhub as a staged pilot)	VP Off-Premise + Pricing	2 periods	Order loss ≤3%. CM2/order up ≥$0.75
Geo-holdout incrementality test (pause 3PD in matched stores/dayparts)	FP&A + Ops	2–3 periods	<55% → pull back, UberEats first (break-even 71%). >70% → lean in
Report 3PD monthly on period run-rate CM2, not FY gross	CFO	Monthly	Run-rate CM2 ≥20%. Escalate if <16% for 2 periods

Source: Sola_Kitchen_Financial_Model.xlsx — Promo_Escalation, Weeks, Incrementality, Exec_Summary · 5/5